



VVIP SQUADRON: The AW-101 has been shortlisted to carry the President, prime minister and SPG

ITALIANS ARE COMING

With orders for a naval tanker and VIP choppers, Italy is the arriviste in the Indian defence market

■ By Sandeep Unnithan

Last year, when Paolo Girasole, a senior executive with Italian arms major Finmeccanica, was given the option of a foreign posting, he instantly picked India. The slow-moving decision-making process would need getting used to but the world's second-largest defence market marked an exciting business opportunity. Reason enough for Italian arms major Finmeccanica to pack its coffee, olive oil and pasta and head for New Delhi.

From one-off suppliers of torpedoes, radars and naval guns to India, Italy is the arriviste in the Indian defence market, quietly becoming one of India's largest potential military equipment suppliers. Earlier this year, the Indian Navy signed a €200 million (Rs 1,300 crore) contract with Italian shipbuilder Fincantieri for a new fleet tanker. The tanker to be built in Italy and delivered by 2010 will greatly increase the naval fleet's endurance at

sea. Finmeccanica's helicopter division, Augusta Westland, is the front-runner in a multi-million contract to supply 12 AW-101 VIP helicopters worth around Rs 110 crore each for use by the President and prime minister. Four of these are for the use by the Special Protection Group. In a replay of the Marine One contest for the US presidential helicopter last year, field evaluations conducted by the Indian Air Force (IAF), the triple-engined Italian helicopter trumped its only competitor, the US Sikorsky S-92. The contract to be signed later this year for the flying offices equipped with advanced communication aids and self-protection devices could well be the greatest Italian export to India since the iconic Vespa scooter in the 1960s.

The Italian story rides mostly on the 'two Fins'—state-owned Finmeccanica which supplies electronics, radars, artillery and aircraft, and Fincantieri that makes ships. Co-located in a single building in down-

town Delhi's Nehru Place and co-incidentally headed by two engineers who attended the Italian naval academy together, the firms with turnovers of €12.5 and €2.5 billion (Rs 81,250 crore and Rs 16,250 crore) respectively are frontrunners in practically every significant defence contract.

"India is the number one export priority for us," says Massimo de Benedictis, country representative, Fincantieri. For good reason. Current European Union (EU) arms embargoes against China make India, with \$45 billion (Rs 1.89 lakh crore) earmarked for defence acquisitions over the next five years, an attractive alternative.

Fincantieri's FREMM stealth frigate is a contender for a seven-warship order worth Rs 30,000 crore. The shipbuilder is also vying to sell six advanced offshore patrol vessels to the navy and coast guard. If the 38,000-tonne Indigenous Aircraft Carrier being built at the Cochin Shipyard Limited looks like a bigger version of